

Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital

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Six Decades of Technological Progress Converged to Enable Generative AI

6 Decades

Moore's Law

Compute horsepower to process exaflops of data

4 Decades

The Internet

Trillions of tokens of training data (accelerated by COVID)

2 Decades

Mobile & Cloud

Supercomputer in every human's palm

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

Startup revenue in months, not years

ChatGPT

Fastest-growing app in history

Midjourney

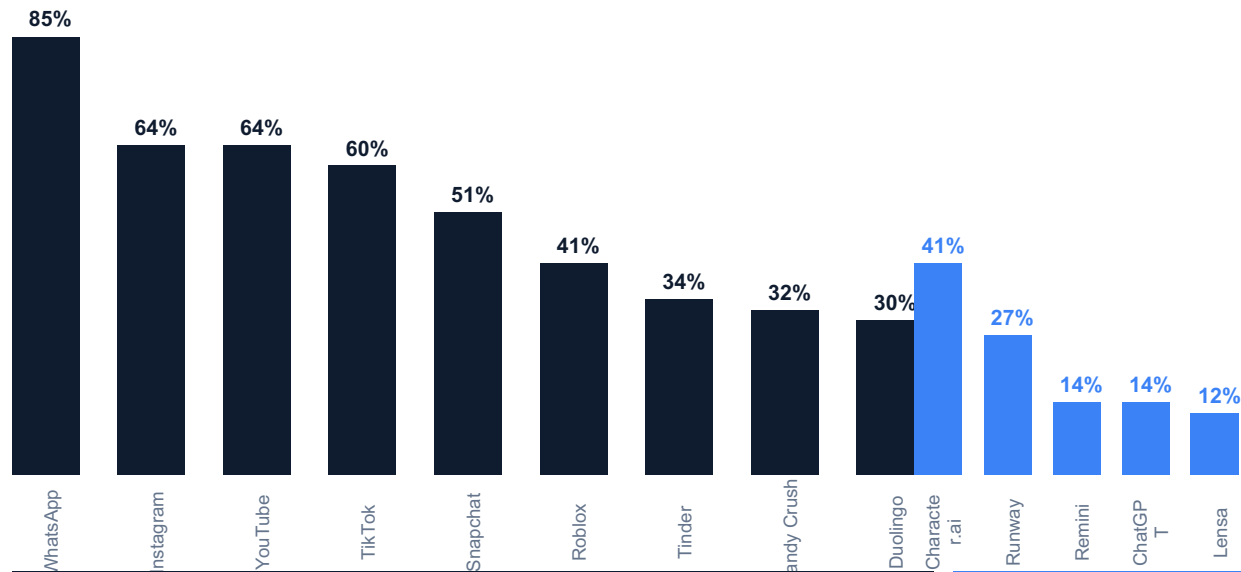
Hundreds of millions in revenue with 11 employees

Character.ai

2-hour average session time

However, these successes don't change the reality that many AI companies lack product-market fit or sustainable competitive advantage.

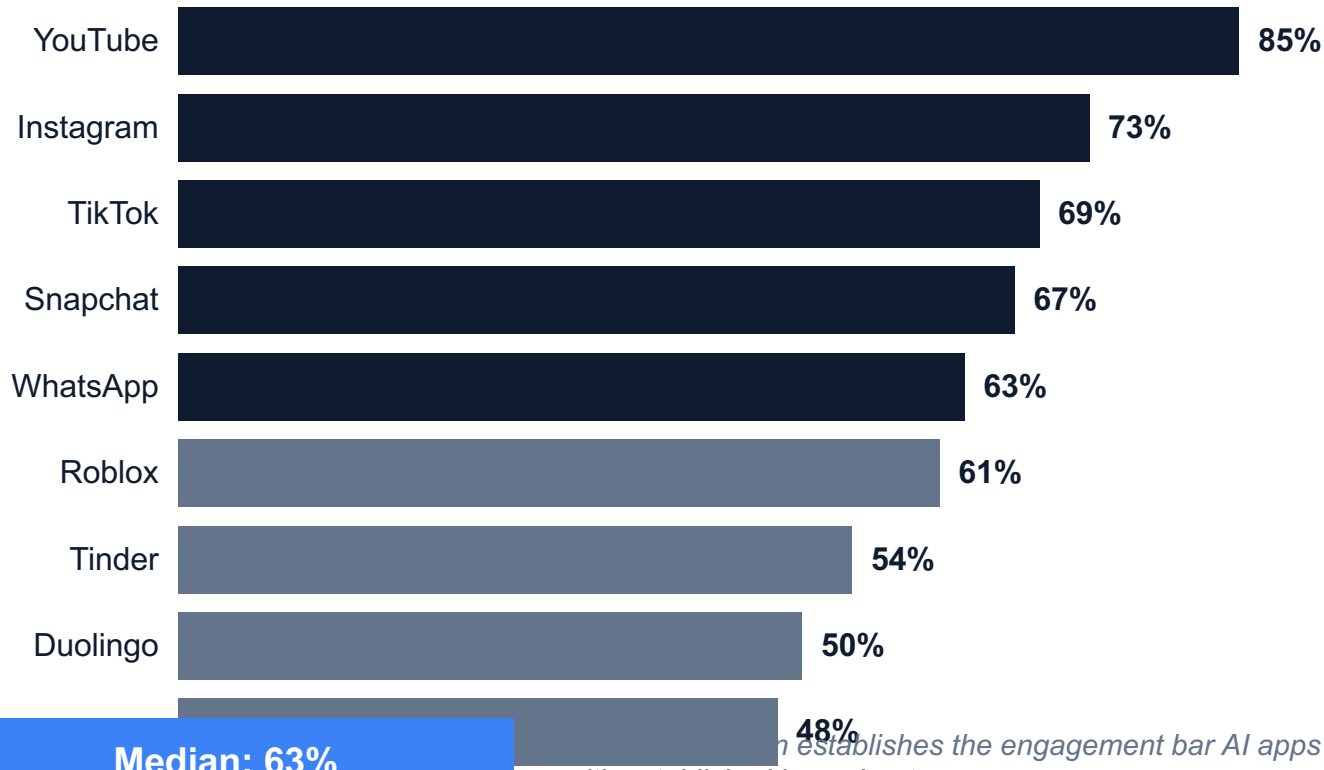
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



Incumbent Median: 51%

AI-First Median: 14%

YouTube Leads Incumbents at 85% Monthly Active Usage



Median: 63%

Establishes the engagement bar AI apps must clear to compete with established incumbents.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

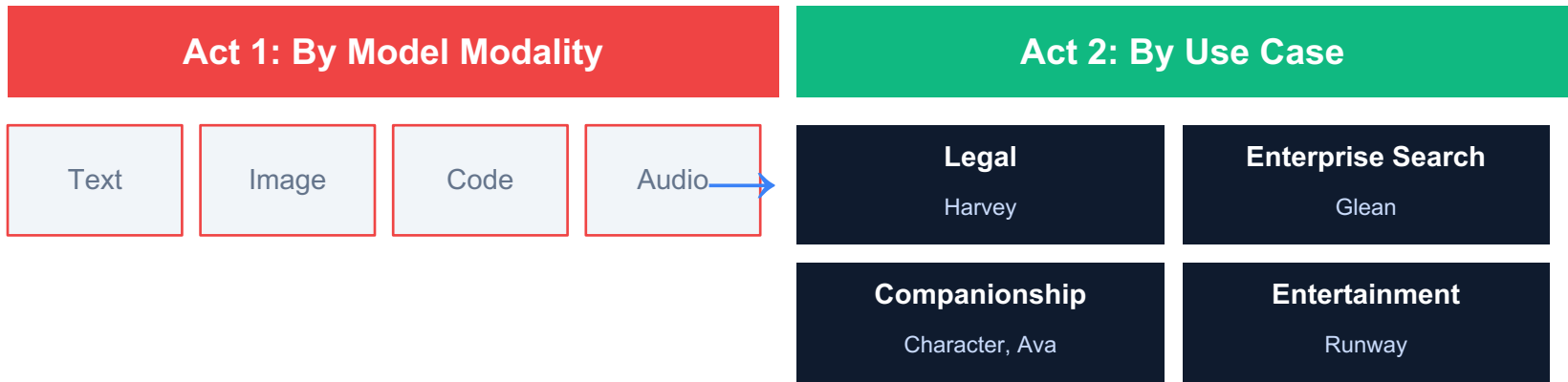
- Foundation models as the entire solution
- Novelty demos & thin wrappers
- Poor retention and user stickiness
- Single-modal interactions
- Technology-first positioning

Act 2: Customer-Back

- Foundation models as a component
- New editing interfaces & workflows
- Multi-modal, end-to-end solutions
- Strong retention and stickiness
- Customer problem-first positioning

Act 2 Exemplars: Harvey (legal) | Glean (enterprise search) | Character & Ava (companionship)

Market Map Reorganized by Use Case, Not Model Modality



The Shift Reflects Act 2's Core Principle

From technology hammer to actual value delivery. The increasingly multi-modal nature of applications means the old modality-based categorization no longer reflects how products are built or how customers think about them. Companies like Harvey, Glean, Character, and Ava exemplify use-case-driven development where AI capabilities serve human problems, not the other way around.

Key Takeaways: What Separates Winners in Act Two

- 1 Retention is the critical challenge — AI-first apps at 14% median vs. 51% for incumbents
- 2 Foundation models should be a component, not the whole product
- 3 Multi-modal, workflow-integrated solutions will win
- 4 The \$1B+ revenue milestone proves real demand exists despite hype cycles
- 5 Companies solving end-to-end human problems will define Act 2

"Character.ai at 41% retention suggests companionship/entertainment may be generative AI's strongest consumer use case."